Bristol City Football Club Limited

Annual Report and Financial Statements
Year Ended 31 May 2021

Registration number: 03230871

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Bristol City Football Club Limited

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Bristol City Football Club Limited

Company Information

Chairman	J S Lansdown
Directors	D J Harman G T Marshall R A Gould
Company secretary	G T Marshall
Registered office	Ashton Gate Bristol BS3 2EJ
Solicitors	Burges Salmon LLP One Glass Wharf Bristol BS2 0ZX
Bankers	Barclays Bank plc Bristol & North Somerset Group PO Box 207 Bristol BS2 0ZX
Auditors	PKF Francis Clark Statutory Auditor Ground Floor Blackbrook Gate 1 Blackbrook Business Park Taunton Somerset TA1 2PX

Bristol City Football Club Limited

Strategic Report for the Year Ended 31 May 2021

The directors present their strategic report for the year ended 31 May 2021.

Review of the business
The overall Company loss before tax this year was £34.8m (2020 - £7.4m).

This has been a very unusual and difficult period due to the outbreak of Covid-19 and the resulting world-wide pandemic. Following our home match with Fulham on 7 March 2020 the country faced lockdown and all football for season 2019/20 was suspended.

The football league programme resumed on 20 June 2020 but with the remaining 9 games to be played behind closed doors and without supporters, thus falling into this financial year.

With a disappointing and continuing sequence of poor results, Head Coach Lee Johnson was replaced on an interim basis by Dean Holden in July. Dean Holden took temporary charge of the final five games of the delayed 2019/20 season, assisted by coaches Keith Downing and Paul Simpson, who had recently taken charge of the England under 19 and under 20 squads respectively.

On 10 August, Dean Holden was appointed Head Coach on a permanent basis, signing a rolling twelve-month contract, with continued support from Keith Downing and Paul Simpson.

After a delayed start, the 2020/21 season commenced on 12 September 2020. Due to imposed Covid-19 Government restrictions, all games for the entirety of the 2020/21 season were to be played behind closed doors without supporters, raising fears of serious financial shortfalls across all Clubs.

After a good start to the league programme, results deteriorated and the Club suffered a lengthy run of poor results. On 22 February 2021, Nigel Pearson the former Leicester City and Watford manager, replaced Dean Holden, initially until the end of the season, and on 29 April 2021 he was appointed Manager of Bristol City on a three-year contract.

Without supporters throughout the season and with a high number of players out of contract in the summer, the Club finished the season in a disappointing 19th position in the Championship with 51 points.

Remarkably, despite the ongoing Covid restrictions, in March 2021 the Club's magnificent new training facilities at Failand were completed on time and opened for use. The training ground will be known as The Robins High Performance Centre and there is no doubt the facility will transform the Club's training programmes and bring together players and staff from the first team, under 23s, Academy and BCWFC.

Bristol City Women's Football Club ("BCWFC") (which operates within a subsidiary company) completed their season and finished 12th position out of 12 teams in the FA Women's Super League. BCWFC will compete in the FA Women's Championship in the 2021/22 season. Although relegation is always disappointing, competing in a lower tier will enable the club to reset and re-build from a solid base.

There is no doubt that the economic damage caused by the Covid-19 pandemic has had an adverse financial impact on all EFL Clubs, particularly matchday revenue and player trading income. The lack of crowds at matches for an entire season and the resultant knock-on effect on finances will be seen across football clubs at all levels of the football pyramid, both domestically and abroad. The reduced income and the resultant uncertainty over financial security has led to a significant reduction in player trading income in this financial year.

Accordingly, the board would like to formally acknowledge the very generous financial support provided by Pula Sport Limited and ultimately Steve and Maggie Lansdown. Finally, we would like to thank all our hardworking staff for their continued contributions throughout this difficult year.

The company's key financial and other performance indicators during the year were as follows:

(i) Average league attendance - Nil (2020 - 21,809)

(ii) Final league position - 19th (2020 - 12th) in the Championship, meaning that the 2021/22 season will be spent in the Championship

(iii) Total gate revenue down £4,023,741 (84%) (2020 - down £1,243,668 (21%))

(iv) Central distributions from broadcasting, the Football League and solidarity payments down £385,561 (5%) (2020 - up £491,885 (6%))

(v) Loss excluding player trading - £28.4m (2020 - £22.3m)

(vi) Net loss on player trading - £6.2m (2020 - net profit of £14.5m)

(vii) Loss before tax - £34.8m (2020 - £7.4m)

Turnover was adversely affected by the lack of matchday revenue for the entirety of the 2020/21 season, with the only matchday revenue recognised being the deferred income release for the remaining five home games of the 2019/20 season. Overall, turnover in the financial period reached £11.9m (2020 - £16.2m) and recorded operating losses amounted to £34.8m (2020 - £7.4m). A clear and noticeable decline in the player trading market has also impacted the club with profit on player on sales reducing during the 2020/21 season, and expected to continue to stagnate in the short-term.

The impact of the decline in the player trading market (described above) on the balance sheet was a net reduction in the carrying value of player contracts, after amortisation, to £14.1m (2020 - £25.1m). By contrast, the completion of the Robins High Performance Centre (RHPC) during the year added £13.1m (2020 - £3.8m) to the balance sheet, before depreciation. The balance sheet includes £11.5m (2020 - £23.9m) of amounts receivable in respect of transfer fees, and £7.4m (2020 - £17.0m) of amounts payable in respect of transfer fees.

During the year 26,255,935 £1 ordinary shares were allotted to Bristol City Holdings Limited for an aggregate consideration of £26,255,935, by way of a debt-to-equity swap, being £12m of existing debt at the start of the year and £14m loaned in the year. The capital subscription has enabled the company to have net assets of £7.7m (2020 - £16.3m) at 31 May 2021. In addition, the company received £16m in the year to fund the RHPC construction from its intermediate parent company. Post year end this unsecured loan was replaced with a formal interest bearing loan facility of £17m.

Principal risks and uncertainties

The principal risk to the company is the availability of finance to fund the continuing losses. This has been made more apparent during the Covid-19 pandemic and the subsequent lockdowns and restrictions on individuals attending sporting events. However, the continuing financial support of Pula Sport Limited and the ultimate controlling parties, Mr & Mrs S P Lansdown, as has been demonstrated during the turbulent 12 months to 31 May 2021 and as explained in the going concern accounting policy, is critical.

Future developments

As the Club moves into the new financial year and looks forward to 2022 and beyond, our strategy of sustainable ongoing development of the football team, through utilisation of our state of the art stadium and High Performance Centre, remains despite the ongoing risks and uncertainties described below. The Club has continued focus upon Financial Sustainability and maintains a constructive working relationship with both the other Clubs and the EFL as well as detailed financial planning and activity within the transfer and loan markets.

Approved by the Board on 20 DEC 2021 and signed on its behalf by:

D J Harman
Director

Bristol City Football Club Limited

Directors' Report for the Year Ended 31 May 2021

The directors present their report and the financial statements for the year ended 31 May 2021.

Directors of the company
The directors who held office during the year were as follows:

M A Ashton (resigned 31 May 2021)

D J Harman

J S Lansdown - Chairman

G T Marshall

The following director was appointed after the year end:

R A Gould (appointed 14 June 2021)

Principal activity
The principal activity of the company is the running of a professional football club.

Financial instruments

Objectives and policies

The directors have reviewed the financial risk management objectives and policies of the company. They do not believe there to be significant risks in this area. The company does not enter into any hedging instruments as there are not believed to be any material exposures. It does not enter into any financial instruments for speculative purposes.

Price risk, credit risk, liquidity risk and cash flow risk

Appropriate trade terms are negotiated with suppliers and customers. Management reviews these terms, the relationship with suppliers and customers and manages any exposure on normal trade terms. The company prepares regular forecasts of cash flow and liquidity and any requirement for additional funding is managed by the directors on a needs basis.

Future developments
The company has taken advantage of Section 414C (11) of the Companies Act 2006 and included details of future developments in the Strategic Report.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditors are unaware.

Approved by the Board on 20 Dec 2021 and signed on its behalf by:

D J Harman
Director

Bristol City Football Club Limited

Statement of Directors' Responsibilities

The directors acknowledge their responsibilities for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Bristol City Football Club Limited

Independent Auditor's Report to the Members of Bristol City Football Club Limited

Opinion

We have audited the financial statements of Bristol City Football Club Limited (the 'company') for the year ended 31 May 2021, which comprise the Profit and Loss Account, Balance Sheet, Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 May 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Independent Auditor's Report to the Members of Bristol City Football Club Limited

Opinion on other matter prescribed by the Companies Act 2006
In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

The key laws and regulations we identified were English Football League (EFL) Championship Profitability and Sustainability rules (P&S rules), Employment legislation and CJRS legislation.

We also considered those laws and regulations that have a direct impact on the preparation of the financial statements, primarily Companies Act 2006 and Corporation Taxes Acts 2009 and 2010.

We discussed with management how the compliance with these laws and regulations is monitored and discussed policies and procedures in place. We also identified the individuals who have responsibility for ensuring that the entity complies with laws and regulations and deal with reporting any issues if they arise. As part of our planning procedures, we assessed the risk of any non-compliance with laws and regulations on the entity's ability to continue trading and the risk of material misstatement to the financial statements.

Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Our procedures involved the following:

- Enquiries of management regarding their knowledge of any non-compliance with laws and regulations that could affect the financial statements;
- Review of relevant correspondence, documentation and calculations in respect of EFL P&S rules;
- Review of other relevant correspondence, reports and documentation;
- Review of legal and professional costs to identify any possible non-compliance or legal costs in respect of non-compliance; and
- Reviewed Board minutes.

As part of our enquiries we discussed with management whether there have been any known instances, allegations or suspicions of fraud, of which management confirmed there had been none during or after the period.

We also evaluated the risk of fraud through management override. The key risks we identified was the potential manipulation of results in order to adhere to EFL P&S rules and maintain ongoing funding support from the ultimate owners. We determined that the principal risks were related to recognition of player contract movements, management override of controls, revenue recognition and recognition of all relevant creditors.

In response to the identified risk, as part of our audit work we:

- Reviewed recognition of player movements in conjunction with underlying contract evidence;
- Used data analytics to test journal entries throughout the year, for appropriateness;
- Undertook specific review of P&S calculations provided to the EFL;
- Reviewed estimates and judgements made in the accounts for any indication of bias and challenged assumptions used by management in making the estimates;
- Undertook substantive sample testing and global reconciliations on revenue; and
- Undertook testing on completeness of creditors.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements. This risk increases the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements as we are less likely to be come aware of instances of non-compliance. The risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment, collusion, omission or misrepresentation.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities (set out on page 6), the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Bristol City Football Club Limited

Independent Auditor's Report to the Members of Bristol City Football Club Limited

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

.....

Nicholas Farrant BA MSc FCA (Senior Statutory Auditor)
PKF Francis Clark, Statutory Auditor

Ground Floor
Blackbrook Gate 1
Blackbrook Business Park
Taunton
Somerset
TA1 2PX

Date: 23rd December 2024

Bristol City Football Club Limited

Profit and Loss Account

Year Ended 31 May 2021

	Note	2021 £	2020 £
Turnover	3	11,903,469	16,171,491
Other operating income	4	510,549	186,874
Staff costs		(30,251,600)	(27,356,955)
Depreciation and amortisation expense		(12,833,174)	(11,411,130)
Other expenses		(10,431,326)	(11,003,024)
Operating loss	5	(41,102,082)	(33,412,744)
Profit on disposal of players' contracts		6,172,857	25,587,872
Loss before interest and taxation		(34,929,225)	(7,824,872)
Loss excluding player trading		(28,769,504)	(22,296,249)
Player trading*		(6,159,721)	14,471,377
Other interest receivable and similar income	9	519,684	576,651
Interest payable and similar charges	10	(391,005)	(131,512)
Loss before tax		(34,800,546)	(7,379,733)
Taxation	11	-	1,479,986
Loss for the year		(34,800,546)	(5,899,747)

*Player trading comprises amortisation and impairment of players' contracts and the profit/loss on disposal of players' contracts.

Bristol City Football Club Limited

Balance Sheet

31 May 2021

	Note	2021 £	2020 £
Fixed assets			
Intangible assets	12	14,124,931	25,135,027
Tangible assets	13	17,617,454	4,977,470
Investments	14	100	100
		31,742,485	30,112,597
Current assets			
Debtors	15	14,412,543	27,674,663
Cash at bank and in hand		589,355	101,709
		15,001,898	27,776,372
Creditors: Amounts falling due within one year	17	(31,128,848)	(29,691,807)
Net current liabilities		(16,126,950)	(1,915,435)
Total assets less current liabilities		15,615,535	28,197,162
Creditors: Amounts falling due in more than one year	17	(4,884,483)	(7,939,002)
Deferred income	19	(3,023,539)	(4,006,036)
Net assets		7,707,513	16,252,124
Capital and reserves			
Called up share capital	22	156,129,870	129,873,935
Profit and loss account		(148,422,357)	(113,621,811)
Shareholders' funds/ (deficit)		7,707,513	16,252,124

Approved and authorised by the Board on 20 Dec 2021 and signed on its behalf by:

D J Harman
Director

Company Registration Number: 03230871

Bristol City Football Club Limited

Statement of Changes in Equity

Year Ended 31 May 2021

	Share capital £	Profit and loss account £	Total £
At 1 June 2020	129,873,935	(113,621,811)	16,252,124
Loss for the year	-	(34,800,546)	(34,800,546)
Total comprehensive income	-	(34,800,546)	(34,800,546)
New share capital subscribed	26,255,935	-	26,255,935
At 31 May 2021	156,129,870	(148,422,357)	7,707,513

	Share capital £	Profit and loss account £	Total £
At 1 June 2019	58,521,588	(107,722,064)	(49,200,476)
Loss for the year	-	(5,899,747)	(5,899,747)
Total comprehensive income	-	(5,899,747)	(5,899,747)
New share capital subscribed	71,352,347	-	71,352,347
At 31 May 2020	129,873,935	(113,621,811)	16,252,124

Bristol City Football Club Limited

Notes to the Financial Statements

Year Ended 31 May 2021

1 General information

The company is a private company limited by share capital, incorporated in England & Wales.

The address of its registered office is:
Ashton Gate
Bristol
BS3 2EJ

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of compliance
These financial statements were prepared in accordance with Financial Reporting Standard 102 - 'The Financial Reporting Standard applicable in the UK and Republic of Ireland', and the Companies Act 2006. There are no material departures from FRS 102.

Basis of preparation
These financial statements have been prepared using the historical cost convention.

Going concern
In accordance with their responsibilities, the directors have considered the appropriateness of the going concern basis for the preparation of the financial statements.

The company is loss making this year and has net current liabilities of £16.1m (2020 - £1.9m), the principal driver for this increased loss and increase in the net current liabilities has, in common with all Clubs, been the Coronavirus pandemic which has caused a forced reduction in match day income and also a material reduction/restriction on player trading activity which in previous years has been a fundamental element of the financial performance of the company. Included in this net current liabilities position are creditors due within one year of £31.1m (2020 - £29.7m), of which £16.7m (2020 - £12.4m) are intra group. While the club continues to recover from the impacts of the pandemic and continues to develop, the company is dependent on ongoing group support to ensure it has adequate working capital to continue its operations. Such finance comes from the group's parent company, Pula Sport Limited, a company owned and controlled by Mr & Mrs S P Lansdown, in funding working capital. Pula Sport Limited invests in the group via equity injections which confirms the long term commitment that they and Mr & Mrs S P Lansdown have to the company and the group. Further evidence of this long term commitment is the debt to equity swap which took place in the year in Bristol City Holdings Limited, as well as in Bristol City Football Club Limited, which shows Pula Sport Limited continues to support the company via Bristol City Holdings Limited. Pula Sport Limited has confirmed its ongoing support for the company and group.

In forming their opinion as to the going concern status the directors have also considered the known, likely and potential impacts of the Coronavirus pandemic and its economic aftermath on professional football. The company was able to access the UK Government support through CJRS (2021 - £510k) and deferral of certain taxes at the end of the prior year (2020 - £2.5m) and obtaining interest free loans of £6.8m (from the English Football league) in order to manage cash flow, as well as reaching agreements with some staff regarding deferral of wages. The directors are satisfied that, whilst there can be no certainty as to the specific longer term implications for professional football, there are no material uncertainties in respect of the going concern status of the company. During the year games resumed on 20 June 2020 and the 2019/20 season was finished with all matches being played behind closed doors. The 2020/21 season commenced on 12 September 2020 and all matches for Bristol City were played behind closed doors, with supporters returning to Ashton Gate on 7 August 2021 for the start of the 2021/22 season.

The directors are confident that, taking into account the recovery of match day and commercial revenues and the commitment by Pula Sport Limited, the company (and wider Bristol City Holdings Limited group) will have sufficient working capital until the end of the 2021/22 season and beyond for the foreseeable future, being not less than 12 months from the date of approval of these financial statements, and for the club to be compliant with the English Football League Championship Profitability and Sustainability rules.

Accordingly, the directors consider it appropriate to prepare these financial statements on a going concern basis.

Key accounting judgements and sources of estimation uncertainty
In the application of the company's accounting policies management is required to make judgements, estimates and assumptions about the carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The key judgement which has a significant effect on the financial statements is in respect of going concern, as described in the accounting policy above.

The key estimates that have a significant effect on the amounts recognised in the financial statements are described below:

Land and buildings
Properties are carried at cost, less accumulated depreciation and any subsequent accumulated impairment loss. This requires an estimation in the depreciation rates used as well as assessment of the loss excluding player trading as to whether an indicator of permanent impairment has occurred. There is estimation in respect of the assumptions regarding future cash generation in respect of the player performance, attracting gate receipts and broadcasting revenue. The carrying amount at the year end is £16,633,541 (2020 - £755,113).

Player contracts
The costs associated with acquiring players' registrations, or extending their contracts, is carried at cost, less accumulated amortisation and accumulated impairment losses. The carrying value of players' contracts is reviewed for impairment in light of post year end performance, injuries and the sales value achieved for any players sold to other clubs. This review requires significant estimation by management in respect of player performance and value in the player market. The carrying amount at the year end is £14,867,356 (2020 - £25,106,400).

Deferred income
Deferred income has been recognised in respect of season ticket income for the 21/22 season. This will be released as and when the relevant games are played. The directors expect this will be released to the profit and loss account as revenue in the 12 months following the balance sheet date. The directors, whilst confident that the entire balance will be recognised as revenue, acknowledge that there is potentially some uncertainty as to the precise timing of the future release of deferred income should any pandemic related restrictions impact football fixtures and matches in the season, and the presence of crowds at those. The carrying amount at the year end is £3,023,539 (2020 - £4,006,036).

Intercompany debtor recoverability
Estimation is required by management as to the recoverability of debtor amounts due from group companies and the amount of any provision required against the debt at the year end. The value of provisions against intercompany debtors at the year end is £925,000 (2020 - £420,000).

Tax
Tax is recognised in profit or loss, except that a charge attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The company receives/passes some tax losses from/to fellow group companies via group relief. It makes/receives payment for these losses at the average rate of tax for the financial period in which the losses are relieved.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date. Timing differences are differences between the group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements.

Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the balance sheet date. Deferred tax assets in respect of tax losses carried forward are not recognised as they do not meet the recognition criteria set out in FRS 102 given there is no certainty as to when the losses will be utilised.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date.

Government grants
Government revenue grants are accounted for under the accruals method. These are credited to the profit and loss account when the company is entitled to the income.

Intangible assets
Intangible assets are stated in the balance sheet at cost, less any subsequent accumulated amortisation and subsequent accumulated impairment losses.

Players' contracts and transfer fees
The costs associated with acquiring players' registrations or extending their contracts are capitalised as intangible assets and amortised, in equal instalments, over the period of the respective players' contracts. Where a contract is renegotiated prior to the expiry of its original term, the net book value at that time, and any new costs relating to the contract extension, are amortised over the remaining revised contract life.

Under the conditions of certain transfer agreements or contract renegotiations, further fees will be payable in the event of the players concerned making a certain number of first-team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer fees are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

Provision is made for any impairment and player registrations are written down when the carrying amount exceeds the amount recoverable through use or sale.

Profit on disposal of players' contracts
Profits or losses arising on the disposal of players' contracts are credited or charged to the profit and loss account in the year in which the player is sold. They are calculated as the difference arising between the transfer fees received and the net book value of the contracts at the time of this disposal.

Software
Software is in respect of website and IT software costs capitalised. This is amortised on a straight line basis over 4 years.

Tangible assets
Tangible assets are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of tangible assets includes directly attributable incremental costs incurred in their acquisition and installation.

Assets under construction represents the development of the training ground. Depreciation is not charged on assets under construction. Upon formal completion of each stage of the development the cost of assets will be transferred to the freehold buildings category.

Depreciation
Depreciation is provided on tangible fixed assets, other than freehold land and assets under construction, so as to write off the cost or valuation, less any estimated residual value, over their expected useful economic lives as follows:

Asset class	Depreciation method and rate
Leasehold land & buildings	Over the term of the lease
Freehold buildings	10 years straight line

Plant and machinery	7 years straight line
Fixtures and fittings	5 years straight line
Motor vehicles	4 years straight line

Investments
Investments in subsidiaries where the shares are not publicly traded and where fair value cannot be reliably measured are stated at historical cost less provision for any diminution in value.

Leases
Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee.

Assets held under finance leases are recognised at the lower of their fair value at inception of the lease and the present value of the minimum lease payments. These assets are depreciated on a straight-line basis over the shorter of the useful life of the asset and the lease term. The corresponding liability to the lessor is included in the Balance Sheet as a finance lease obligation.

Lease payments are apportioned between finance costs in the Profit and Loss Account and reduction of the lease obligation so as to achieve a constant periodic rate of interest on the remaining balance of the liability.

Turnover
Turnover comprises the fair value of the consideration received or receivable for matchday revenue, including ticket sales, broadcasting revenue, internet receipts and grants, Football League funding, comprising central funding and solidarity payments, and other commercial and related income, in respect of sponsorship, hospitality and advertising. Turnover is shown net of value added tax, returns, rebates and discounts.

Income is recognised as follows:
Income from matchday revenue, season tickets, broadcasting revenue is recognised when the related matches are played. Income from advance ticket sales, including season tickets, is deferred accordingly;
Income from the Football League is recognised on a receivable basis; and
Income in respect of other commercial and retail income is recognised in the period to which it relates.

Cup ticket revenue is shown net of the gate share payable to the away team, as the company acts as agent. The gate share payable in the current year amounted to £Nil (2020 - £35,506).

Defined contribution pension obligation
The company operates a defined contribution pension scheme to which it contributes for members. The company also contributes to some employee's personal pension plans. Contributions are charged in the profit and loss account as they become payable in accordance with the rules of the scheme.

Financial instruments

Classification

The company holds the following financial instruments:

- Short term trade and other debtors and creditors;
- Short term intra-group debtors and creditors;
- Debtors and creditors in relation to transfer fees;
- Long term other borrowings at below market rate; and
- Cash and bank balances.

All financial instruments are classified as basic.

Recognition and measurement

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument and derecognised when in the case of assets, the contractual rights to cash flows from the assets expire or substantially all the risks and rewards of ownership are transferred to another party, or in the case of liabilities, when the company's obligations are discharged, expire or are cancelled.

Short term trade, intra-group, transfer fee and other debtors and creditors and cash and bank balances are initially measured at transaction price, including transaction costs, and are subsequently carried at the undiscounted amount of the cash or other consideration expected to be paid or received, after taking account of impairment adjustments.

Long term debtors and creditors in relation to transfer fees constitute a financing transaction and are measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument at inception. As the discount unwinds it is charged/ credited to the Profit and Loss account.

Long term other borrowings constitute a financial transaction because they are at a below market rate of interest. Such loans re measured at the present value fo the future payments, discounted at a market rate of interest for a similar debt instrument.

3 Revenue

The analysis of the company's revenue for the year from continuing operations is as follows:

	2021	2020
	£	£
Sale of goods	70,000	241,051
Rendering of services	3,982,071	3,486,050
Ticket sales	705,053	4,728,794
Football League income	7,146,345	7,715,596
	11,903,469	16,171,491

The analysis of the company's turnover for the year by class of business is as follows:

	2021 £	2020 £
Matchday revenue	-	1,747,784
Season tickets	705,053	2,981,010
Broadcasting revenue	912,390	728,700
Football League pool	2,496,345	3,215,596
Solidarity payment	4,650,000	4,500,000
Other football related income	2,112,381	1,234,338
Other commercial and retail income	1,027,300	1,764,063
	11,903,469	16,171,491

4 Other operating income

The analysis of the company's other operating income for the year is as follows:

	2021 £	2020 £
Government grants	510,549	186,874

5 Operating loss

Arrived at after charging:

	2021 £	2020 £
Depreciation expense	474,791	268,336
Amortisation expense	12,358,383	11,142,794
Foreign exchange (gains)/losses	15,007	(114,314)
Loss/(profit) on disposal of property, plant and equipment	265,156	(3,200)

6 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2021 £	2020 £
Wages and salaries	26,882,916	24,076,848
Social security costs	3,207,481	3,052,780
Pension costs, defined contribution scheme	161,203	227,327
	30,251,600	27,356,955

The average number of persons employed by the company (including directors) during the year, analysed by category was as follows:

	2021 No.	2020 No.
Office, coaching and management staff	130	124
Players	80	83
	210	207

7 Directors' remuneration

The directors' remuneration for the year was as follows:

	2021 £	2020 £
Remuneration	443,206	633,194
Contributions paid to money purchase pension schemes	43,253	50,864
	486,459	684,058

During the year the number of directors who were receiving benefits was as follows:

	2021 No.	2020 No.
Accruing benefits under money purchase pension scheme	3	3

In respect of the highest paid director:

	2021 £	2020 £
Remuneration	352,511	527,364
Contributions paid to money purchase pension schemes	27,874	13,533

8 Auditors' remuneration

	2021 £	2020 £
Audit of the financial statements	15,675	14,400

9 Other interest receivable and similar income

	2021	2020
	£	£
Other finance income	519,684	576,651

Certain agreements for the sale of players' contracts include an element of deferred consideration. The deferred element of the consideration has, where a financial asset has been recognised, been discounted to its present value at the date of the contract, using a market rate of interest for a debt instrument of a similar amount and duration. Other finance income represents the unwinding of this discount to the period end.

10 Interest payable and similar expenses

	2021	2020
	£	£
Interest on bank overdrafts and borrowings	22,913	10,620
Interest expense on other finance liabilities	368,092	120,892
	391,005	131,512

11 Taxation

Tax charged/(credited) in the profit and loss account

	2021	2020
	£	£
Current taxation		
UK corporation tax adjustment to prior periods	-	(1,206,986)
Deferred taxation		
Arising from origination and reversal of timing differences	-	(273,000)
Tax credit in the income statement	-	(1,479,986)

The tax on profit before tax for the year is lower than the standard rate of corporation tax in the UK (2020 - lower than the standard rate of corporation tax in the UK) of 19% (2020 - 19%).

The differences are reconciled below:

	2021 £	2020 £
Loss before tax	(34,800,546)	(7,379,733)
Corporation tax at standard rate	(6,612,104)	(1,402,149)
Expenses not deductible for tax purposes	211,329	95,543
Effect of tax losses carried back	-	189,497
Deferred tax credit relating to changes in tax rates or laws	(8,185,320)	(2,056,865)
Tax decrease from group relief payable in prior periods	-	(1,206,986)
Deferred tax not recognised	14,586,095	2,900,974
Total tax credit	-	(1,479,986)

Deferred tax

There are £136,410,000 of unused tax losses (2020 - £102,260,000) for which no deferred tax asset is recognised in the Balance Sheet.

12 Intangible assets

	Players' contracts £	Computer software £	Total £
Cost or valuation			
At 1 June 2020	48,296,096	105,195	48,401,291
Additions acquired separately	2,012,839	-	2,012,839
Disposals	(14,158,893)	(3,667)	(14,162,560)
At 31 May 2021	36,150,042	101,528	36,251,570
Amortisation			
At 1 June 2020	23,189,696	76,568	23,266,264
Amortisation charge	11,587,331	25,805	11,613,136
Amortisation eliminated on disposals	(13,494,341)	(3,667)	(13,498,008)
Impairment	745,247	-	745,247
At 31 May 2021	22,027,933	98,706	22,126,639
Carrying amount			
At 31 May 2021	14,122,109	2,822	14,124,931
At 31 May 2020	25,106,400	28,627	25,135,027

13 Tangible assets

	Land and buildings £	Furniture, fittings and equipment £	Motor vehicles £	Assets under construction £	Plant and equipment £	Total £
Cost or valuation						
At 1 June 2020	2,260,401	529,501	174,047	3,839,171	336,205	7,139,325
Additions	-	32,551	-	13,125,321	222,738	13,380,610
Disposals	(1,875,743)	(105,398)	(47,403)	-	(81,114)	(2,109,658)
Transfers	16,448,935	515,557	-	(16,964,492)	-	-
At 31 May 2021	16,833,593	972,211	126,644	-	477,829	18,410,277
Depreciation						
At 1 June 2020	1,505,288	309,285	174,047	-	173,235	2,161,855
Charge for the year	305,152	117,342	-	-	52,297	474,791
Eliminated on disposal	(1,610,388)	(104,918)	(47,403)	-	(81,114)	(1,843,823)
At 31 May 2021	200,052	321,709	126,644	-	144,418	792,823
Carrying amount						
At 31 May 2021	16,633,541	650,502	-	-	333,411	17,617,454
At 31 May 2020	755,113	220,216	-	3,839,171	162,970	4,977,470

Included within the net book value of land and buildings above is £16,633,541 (2020 - £755,113) in respect of freehold land and buildings and £Nil (2020 - £Nil) in respect of long leasehold land and buildings.

Included within land and buildings is freehold land with a cost of £263,209 (2017 - £263,209) which is not depreciated.

14 Investments in subsidiaries

Subsidiaries	**£**
Cost or valuation	
At 1 June 2020	100
Carrying amount	
At 31 May 2021	100
At 31 May 2020	100

Details of undertakings

Details of the investments in which the company holds 20% or more of the nominal value of any class of share capital are as follows:

Undertaking	**Registered office**	**Holding**	**Proportion of voting rights and shares held**	
			2021	**2020**
Subsidiary undertakings				
Bristol City Women Football Club Limited	Ashton Gate Bristol BS3 2EJ	Ordinary	100%	100%
Bristol Academy Women's Football Club Limited	South Gloucestershire and Stroud College Filton Avenue Filton Bristol BS34 7AT	Company limited by guarantee	60%	60%

Subsidiary undertakings

Bristol City Women Football Club Limited

The principal activity of Bristol City Women Football Club Limited is the running of a professional football club.

Bristol Academy Women's Football Club Limited

The principal activity of Bristol Academy Women's Football Club Limited is that of a dormant company. On 29 March 2021 an application was made by its directors for this company to be struck from the Register of Companies.

15 Debtors

	2021 £	2020 £
Trade debtors	8,480	332,731
Amounts owed by group undertakings	1,511,824	956,932
Other debtors	434,387	1,638,058
Amounts receivable in respect of transfer fees	11,477,369	23,893,915
Prepayments and accrued income	980,483	853,027
Total current trade and other debtors	14,412,543	27,674,663

An impairment loss of £505,000 (2020 - £330,000) has been recognised against amounts owed by group undertakings during the year.

Details of trade and other debtors
£502,755 (2020 - £11,843,642) of amounts receivable in respect of transfer fees is classified as non current.

16 Cash and cash equivalents

	2021 £	2020 £
Cash on hand	921	18,616
Cash at bank	588,434	83,093
	589,355	101,709
Bank overdrafts	(645,817)	(1,968,544)
Cash and cash equivalents	(56,462)	(1,866,835)

17 Creditors

	Note	2021 £	2020 £
Due within one year			
Loans and borrowings	18	3,654,728	2,163,144
Trade creditors		266,233	1,233,573
Amounts due to group undertakings		16,738,202	12,401,383
Social security and other taxes		1,069,715	2,511,599
Other creditors		1,310,403	923,895
Amounts payable in respect of transfer fees		6,427,965	9,418,411
Accrued expenses		1,661,602	1,039,802
		31,128,848	29,691,807
Due after one year			
Loans and borrowings	18	3,864,102	389,400
Amounts payable in respect of transfer fees		1,020,381	7,549,602
		4,884,483	7,939,002

18 Loans and borrowings

	2021 £	2020 £
Current loans and borrowings		
Bank overdrafts	645,817	1,968,544
Hire purchase contracts	37,645	-
Other borrowings	2,971,266	194,600
	3,654,728	2,163,144

	2021 £	2020 £
Non-current loans and borrowings		
Hire purchase contracts	104,832	-
Other borrowings	3,759,270	389,400
	3,864,102	389,400

Bank borrowings
The bank overdraft is denominated in sterling with a nominal interest rate of 1.75% plus base rate (0.75% at the year end), and is repayable on demand. The carrying amount at year end is £645,817 (2020 - £1,968,544).

The bank overdraft is secured by a limited guarantee given by S P Lansdown of £4,500,000 and an unlimited guarantee given by Ashton Gate Limited (fellow subsidiary).

Other borrowings
Hire purchase lease liabilities are denominated in sterling with a nominal interest rate of 4-6%, and the final instalment of the liabilities in existence at the balance sheet date is due on 31 January 2025. The carrying amount at year end is £142,477 (2020 - £Nil).

The first other borrowings is an interest free loan of £584,000 from the English Football League denominated in sterling. The loan is repayable in six instalments every six months beginning on 1 October 2021. The first five instalments being of £97,300 and a final instalment of £97,500. The final instalment is due on 1 April 2024. This loan, presented in accordance with FRS 102, was measured at the present value of the future payments discounted at a market rate of interest, had a carrying value as at 31 May 2021 of £577,383 (2020 - £584,000), with the unwinding of the discount being charged to the profit and loss account as an interest expense.

The second other borrowings is an interest free loan of £6,247,500 from the English Football League denominated in sterling. The loan is repayable in six instalments of £1,0,41,250 every six months beginning on 15 August 2021. The final instalment is due on 15 January 2024. This loan, presented in accordance with FRS 102, was measured at the present value of the future payments discounted at a market rate of interest, had a carrying value as at 31 May 2021 of £6,153,153 (2020 - £Nil), with the unwinding of the discount being charged to the profit and loss account as an interest expense.

19 Deferred income

	2021 £
At 1 June 2020	4,006,036
Released to profit during the year	(754,466)
Received during the year	4,342,058
Refunds issued during the year	(4,570,089)
At 31 May 2021	3,023,539

During the year refunds were given on tickets relating to the 2020/21 season. The deferred income balance at the year end consists of football season ticket income in respect of the 2021/22 season.

20 Obligations under leases

Operating leases
The total of future minimum lease payments is as follows:

	2021 £	2020 £
Not later than one year	20,136	86,386
Later than one year and not later than five years	13,844	13,844
	33,980	100,230

The amount of non-cancellable operating lease payments recognised as an expense during the year was £86,057 (2020 - £291,489).

21 Pension schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme and also contributes to certain employees' personal pension plans. The pension cost charge for the year represents total contributions payable and amounted to £161,203 (2020 - £227,327).

22 Share capital

Allotted, called up and fully paid shares

	2021		2020	
	No.	£	No.	£
Ordinary shares of £1 each	156,129,870	156,129,870	129,873,935	129,873,935

New shares allotted
During the year 26,255,935 Ordinary shares having an aggregate nominal value of £26,255,935 were allotted for an aggregate consideration of £26,255,935. The allotment was undertaken by way of a debt to equity swap.

Rights, preferences and restrictions
Ordinary shares have the following rights, preferences and restrictions:
The right to one vote per share held at general meetings.

23 Commitments

Capital commitments

The company commenced the construction of a new training facility in January 2020. The training facility was completed within the year and all amounts outstanding provided for. The total amount contracted for but not provided in the financial statements was £Nil (2020 - £12,394,215).

24 Contingent assets

Contractual assets under contracts for the sale of players are expected to become receivable of £500,000 (2020 - £1,620,000) at various stages in the future contingent on the relevant players meeting certain performance conditions..

25 Contingent liabilities

Contractual liabilities under players' contracts may be payable of £245,465 (2020 - £242,000) at various stages in the future contingent on the relevant players meeting certain performance conditions.

26 Non adjusting events after the financial period

After the year end, the group has received a loan facility of £17,000,000 from Pula Sport Limited. This replaces the existing unsecured loan provided by Pula Sport Limited to fund the new training facility. The final repayment date of this facility is the 1 June 2037.

Since the end of the financial year, the company has contracted for the purchase and sale of various players. The net cash outflow from these transfers, taking into account the applicable levies and excluding value added tax, is £1,968,750 (2020 - income of £1,707,500). These transfers will be accounted for in the year ended 31 May 2022.

The company is also due to receive £10,000 (2020 - payable £35,450) (excluding the contingent asset and liability described in Note 24 and Note 25) in respect of sell on clauses for players disposed of in previous years.

27 Related party transactions

Summary of transactions with other related parties

Fellow (non wholly owned) subsidiaries

During the year, the company recharged other expenditure to its fellow subsidiaries. The company recognised receivables/(payables) in respect of tax losses group relieved to/(by) fellow subsidiaries. The company made other purchases from its fellow subsidiaries.

Income and receivables from related parties

	Other related parties
2021	**£**
Expenditure recharged to related parties	16,851
Amounts receivable from related parties	8,612

	Other related parties
2020	**£**
Expenditure recharged to related parties	28,896
Amounts receivable from related parties	8,788

Expenditure with and payables to related parties

	Other related parties
2021	**£**
Purchases from related parties	111
	111

	Other related parties
2020	**£**
Purchases from related parties	4,536
Group relief payable to related parties	(1,046,960)
	(1,042,424)

28 Parent and ultimate parent undertaking

The company's immediate parent is Bristol City Holdings Limited, incorporated in England & Wales.

The ultimate parent is Pula Limited, incorporated in Guernsey.

The most senior parent entity producing publicly available financial statements is Bristol City Holdings Limited. These financial statements are available upon request from its registered office at Ashton Gate, Bristol, BS3 2EJ.

The ultimate controlling party is Mr & Mrs S P Lansdown by virtue of their majority shareholding in Pula Limited, the ultimate parent company.